
AFFIRMATIVE ACTION, FAMILY STYLE

THEIR ADULT CHILDREN ARE ECONOMICALLY SELF-SUFFICIENT.

Most affluent parents who have adult children want to reduce the size of their estate before they pass away. Certainly this decision makes sense, given that the alternative is to leave their children with a significant estate tax liability. The decision to share their wealth with their children is easy; the difficult decision is how to divide the capital.

Affluent parents who have younger children usually believe that the distribution of their wealth will never be a problem. They assume their assets will be distributed equally. Those parents with four children, for example, typically state that “[their] wealth will be distributed equally among [their] children—25 percent to each.”

This simple distribution formula becomes more complex as the children mature. Parents of adult children are likely to find that some of their children have a greater need for substantial financial gifts than others. Who should get more? Who should get less? These are questions everyone must answer. Nonetheless, affluent parents are likely to benefit from several important research findings:

♦ Parents with nonworking adult daughters and “temporarily” unemployed adult sons have a high propensity to provide these children with heavy doses of economic outpatient care (EOC). These children are also likely to receive a disproportionately large portion of their parents’ estates.